

insurance reforms, changes in the civilian nuclear liability law. The government has articulated its interest in moving ahead on some big things.



Why do you think Modi 3.0 has had a slow start on reforms?

One reason could be coalition government, although I don't know if that would be such a big issue, because when you look at the main parties that make up the coalition, the Telugu Desam Party has been

regional parties that may be care less about what's happening nationally and internationally. But you've also seen a slowdown in some of what Narendra Modi wanted to accomplish with competitive cooperative federalism. Now that regional parties have a little bit larger voice, the government feels a bit less able to push states towards reforms. I'd like to see that because if more of India's 28 states start pushing reforms, the economy will take off, as the Union government doesn't hold

from being politically driven by rural voters to urban voters. Right now, cities tend to be the last things state governments think about while deciding their political priorities. A second and related thing is empowering cities. That's something the finance minister, the Reserve Bank of India and the Ministry of Housing and Urban Development are working on thoughtfully. Between now and 2047, urbanisation is going to be a big

now, it remains relatively protectionist. During the Modi government's first term, you saw regular tariff increases and domestic manufacturing rules. Foreign companies also don't always feel as welcome as they probably could. You still have almost three dozen sectors with foreign investment limitations. In 2047, India is going to be one of the three economies that are \$10 trillion or more along with China and the United States. So, there's a natural lean for companies to invest in India. Ensuring that India remains as open as it can, both for trade and investment, is going to be vitally important.

There are other big things that must be ironed out. Power grids don't function effectively. Only three states, Gujarat, Haryana and Odisha, have high functioning grids. There are a lot of other challenges. Openness to trade and investment is one of the main drivers (of growth). You've seen countries like China that have turned the corner. A lot of that has been due to connectivity with international markets.



Do you think there is scope to compete on some areas where China has massive strengths, including manufacturing?

India wants to become the next best investment destination. That's going to take a lot of changes

probably more reformist than any party in India over the last 25 years that I've been tracking it. Even the Janata Dal (U) in Bihar doesn't tend to put brakes on reforms. It is more interested in what's happening in its state rather than national-level politics and governance. So, I don't want to chalk too much up to the fact that it's a coalition government. It could be due to changes in several Cabinet portfolios, the fact that many of these departments are now run by

as many levers as it used to; it has decontrolled large parts of the economy.



What can be a winning strategy for the 2047 goals?

The best news from somebody who's been tracking how India reforms and how its politics works is that there's going to be a natural flow towards modernisation and reform. That's because between now and India's 100th birthday, Indian states will change

driver. When cities driver reforms, everything starts clicking.



Can you talk about a couple of more trends that will be equally important?

India will become one of the largest economies. More openness on trade and investment will be important. India wants to become the next best investment destination. That's going to take a lot of changes in how it looks at trade policy. Right